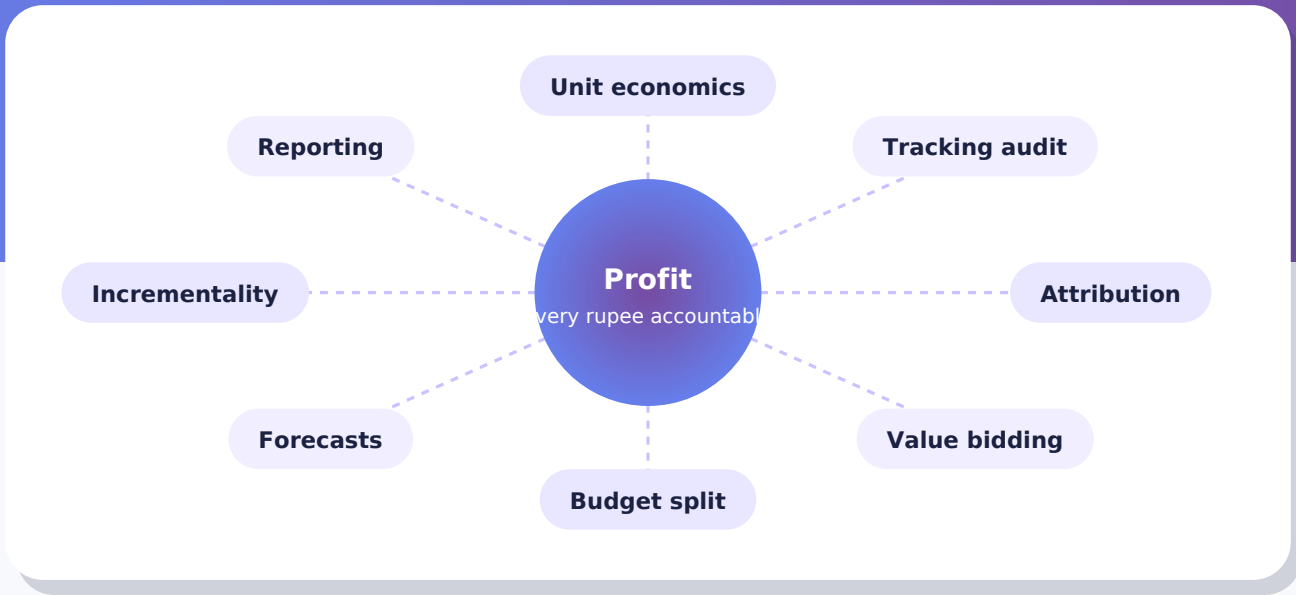
WEEK 12 · DIGITAL MARKETING & AI BOOTCAMP

Performance Marketing & ROAS

Unit economics, tracking, value-based bidding, budget allocation and forecasting, step by step

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PART A

Foundations

Performance marketing, unit economics,
ROAS, POAS and the targets
that make money

SECTION 1

What performance marketing really is

Performance marketing means paying for advertising and judging it by measurable business results: sales, bookings, qualified leads and, above all, profit. In Weeks 6 to 8 you learnt to launch and optimise Google Ads and Meta Ads. This week you step back and manage them together, like a business owner who has one budget and wants the best return from every rupee.

From "the campaign looks good" to "the business makes money"

Beginners judge a campaign by the numbers the platform shows: clicks, cost per click, maybe the ROAS (return on ad spend) in Ads Manager. Experienced performance marketers ask four harder questions:

1. **Is it profitable?** A ROAS of 3 can be excellent for one business and a loss for another. It depends on margins (Sections 2 to 4).
2. **Is the tracking right?** If conversions are missing, counted twice or have no value, every decision built on them is wrong (Part C).
3. **Did the ads cause the sales?** Some people would have bought anyway. Platforms over-claim (Part B).
4. **Where should the next rupee go?** Budget should move to where the *extra* spend brings the most *extra* profit (Part D).

The performance marketing loop

Step	What you do	Where in this guide
1. Know the economics	Order value, margins, break-even and target ROAS, customer value	Sections 2–5
2. Measure correctly	Conversion tracking with values, deduplication, offline sales, attribution	Sections 6–16
3. Let the algorithms work for profit	Value-based bidding: Maximise conversion value, target ROAS, value rules	Sections 17–20
4. Allocate the budget	Marginal ROAS, 70/20/10, seasonality, scaling rules	Sections 21–24
5. Forecast and report	Scenarios, levers, reporting rhythm	Sections 25–27
6. Audit and repeat	The Performance Audit, every quarter	Section 29

Who this week is for

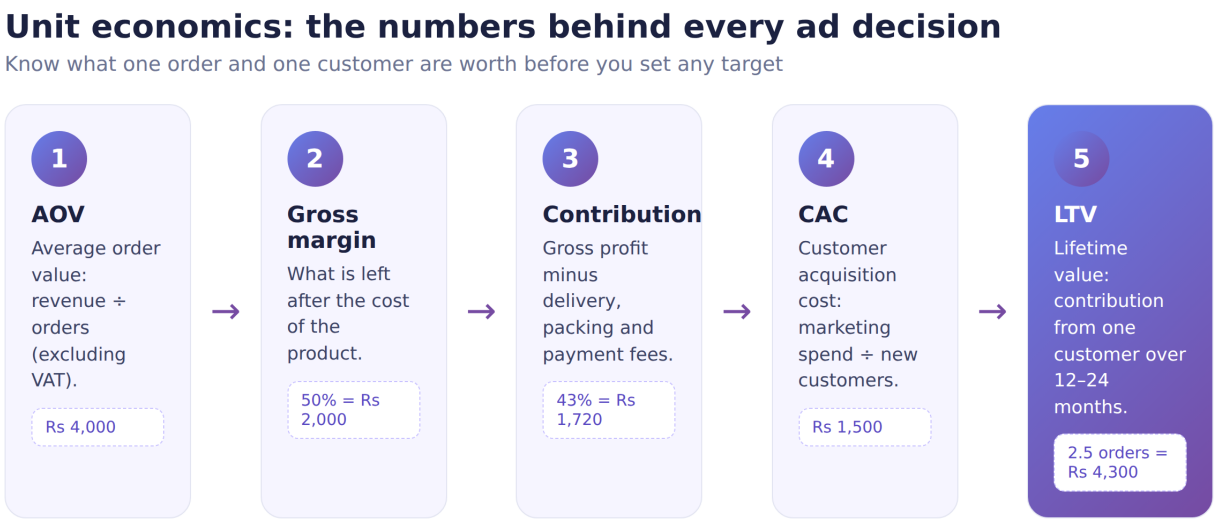
Everything here works for a small business spending Rs 20,000 a month as well as for a larger advertiser spending Rs 1 million. The maths is the same; only the tools change. Where a technique needs big budgets (marketing mix modelling, Google’s official lift studies), we say so and give a simpler alternative.

> **The mindset:** you are not buying clicks, you are buying profit. Every target you set in Google Ads or Meta should come from the business’s numbers, not from what "looks normal" or what the platform recommends.

SECTION 2

Unit economics: what an order and a customer are worth

Unit economics are the numbers for one unit of business: one order and one customer. They tell you how much you can afford to pay for a sale before advertising starts to lose money.



Illustrative numbers for Varangue Home, a fictional online home décor shop in Moka.

The key definitions

Metric	Formula	Varangue Home example
AOV (average order value)	Revenue ÷ number of orders (excluding VAT)	Rs 400,000 ÷ 100 orders = Rs 4,000
Gross margin	(Revenue − cost of goods) ÷ revenue	Cost of a Rs 4,000 order: Rs 2,000 → 50%
Variable costs per order	Delivery, packing, payment fees, returns	Rs 200 delivery and packing + 2% card fee (Rs 80)
Contribution per order	Gross profit − variable costs per order	Rs 2,000 − Rs 280 = Rs 1,720
Contribution margin	Contribution per order ÷ AOV	Rs 1,720 ÷ Rs 4,000 = 43%
CAC (customer acquisition cost)	Marketing spend ÷ new customers	Rs 90,000 ÷ 60 new customers = Rs 1,500
LTV (lifetime value)	Contribution per order × orders per customer over a period	Rs 1,720 × 2.5 orders in 24 months = Rs 4,300
LTV:CAC	LTV ÷ CAC	Rs 4,300 ÷ Rs 1,500 = 2.9
Payback	CAC ÷ contribution per order	1,500 ÷ 1,720 = 0.9 orders: the first order pays it back

Why contribution, not revenue or gross margin

Many guides calculate break-even ROAS with the gross margin only. That is a good start (Week 7 used it), but delivery, packing and payment fees are paid on every order too. If you forget them, your break-even ROAS looks lower than it really is and you overspend. Fixed costs (rent, salaries, the website) are not included: they are paid whether you advertise or not.

LTV:CAC and payback in plain words

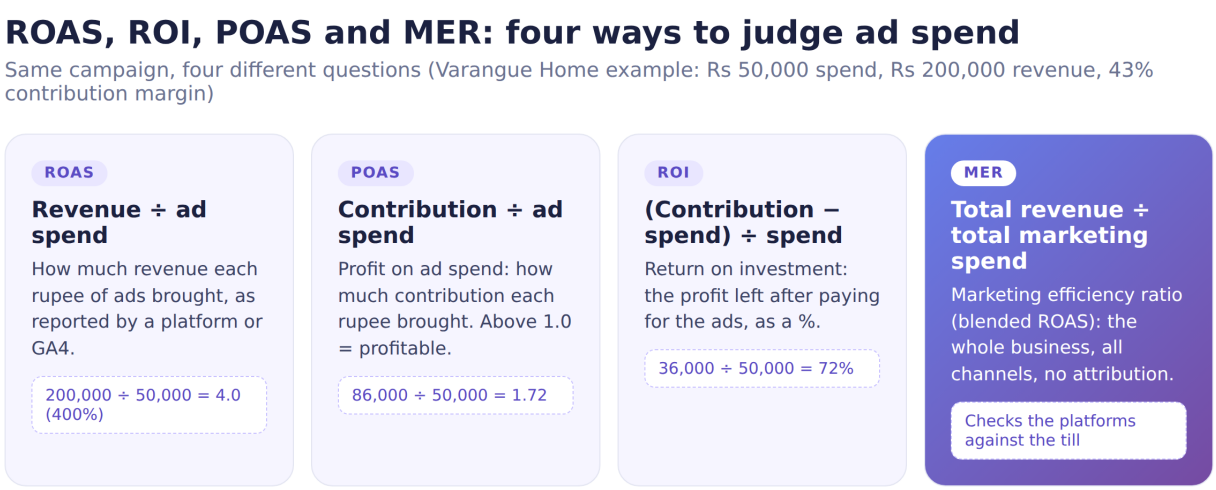
- **LTV:CAC** compares what a customer brings over time with what it cost to win them. A common rule of thumb is to aim for about 3:1. Below 1:1 you lose money on every new customer, even over time.
- **Payback** tells you how fast you get the acquisition cost back. A shop with cash-flow pressure needs payback on the first order. A gym or a subscription can accept a longer payback because members pay every month.
- **Use contribution-based LTV** (profit), not revenue-based LTV. A customer who spends Rs 20,000 a year at a 10% margin is worth less than one who spends Rs 8,000 at 45%.
- **Be honest about repeat rates.** Use your own data (Week 10 RFM analysis, Section 16 of that guide). If you do not know, assume one order only until you have 12 months of history.

> **In Mauritius:** many small businesses do not know their real margin per order. Sit with the owner or the accountant for 30 minutes and agree three numbers: average order value, product cost as a % of price, and cost of delivery and payment per order. Write them at the top of every performance report. If the business is VAT-registered, work with revenue excluding VAT everywhere.

SECTION 3

ROAS, ROI, POAS and MER

The same campaign can be described with four different ratios. Each one answers a different question. Mixing them up is one of the most common and expensive mistakes in performance marketing.



Metric	Formula	Break-even at	Use it for
ROAS (return on ad spend)	Attributed revenue ÷ ad spend	1 ÷ contribution margin (2.33 for Varangue)	Setting bidding targets in Google and Meta

Metric	Formula	Break-even at	Use it for
POAS (profit on ad spend)	Attributed contribution ÷ ad spend	1.0 for every business	Comparing channels or products with different margins
ROI (return on investment)	(Contribution − ad spend) ÷ ad spend	0%	Explaining results to owners and finance
MER (marketing efficiency ratio)	Total business revenue ÷ total marketing spend	Depends on margins and fixed costs	Checking the whole business, all channels together
CPA (cost per acquisition)	Ad spend ÷ conversions	Contribution per order	Lead generation, single-price products

A worked example

Varangue Home spends Rs 50,000 on a Meta campaign. Ads Manager reports Rs 200,000 of purchases. ROAS = 200,000 ÷ 50,000 = **4.0** (Google writes it as 400%). Contribution = 43% × 200,000 = Rs 86,000. POAS = 86,000 ÷ 50,000 = **1.72**. Profit after ads = 86,000 − 50,000 = Rs 36,000, so ROI = **72%**.

Why POAS is useful

Imagine two campaigns with the same ROAS of 4. One sells cushions with a 55% contribution margin, the other sells furniture with a 25% margin. Their POAS is 2.2 and 1.0: the furniture campaign only breaks even. When products have very different margins, compare channels and campaigns on POAS, or send profit instead of revenue as the conversion value (Section 19). For a single product or similar margins, ROAS and POAS give the same ranking.

ROAS as a ratio or a percentage

A ROAS of 4 means Rs 4 of revenue for each Rs 1 of ad spend. Google Ads uses percentages (target ROAS 400%), Meta uses ratios (ROAS goal 4.0). They mean the same thing. And remember: if your Google or Meta invoice includes 15% VAT that you cannot recover, the real ad spend is 15% higher than the platform shows (Week 6, Section 8).

> **Revenue is not profit.** A dashboard showing "ROAS 5" in green can hide a loss if margins are thin, if half the orders are returned, or if the platform counts sales that would have happened anyway. Always read ROAS next to the break-even ROAS and, once a month, next to real sales.

SECTION 4

Break-even ROAS and target ROAS from margins

In Week 7 (Section 6) you calculated a break-even CPA and ROAS for a single campaign. Now we turn them into targets you can type into Google Ads and Meta, with room for profit.

From margin to target ROAS in five steps

Never let a platform choose your target for you



The four formulas to remember

Target	Formula	Varangue Home (AOV Rs 4,000, contribution 43%)
Break-even ROAS	1 ÷ contribution margin	1 ÷ 0.43 = 2.33 (233%)
Target ROAS for a profit goal	1 ÷ (contribution margin − profit goal as % of revenue)	Profit goal 15% → 1 ÷ 0.28 = 3.57 (357%)
Maximum CPA (break-even)	AOV × contribution margin	Rs 4,000 × 0.43 = Rs 1,720
Target CPA	AOV ÷ target ROAS (or AOV × (margin − goal))	Rs 4,000 ÷ 3.57 = Rs 1,120

Choosing the profit goal

- **Profit focus (mature, stable business):** a profit goal of 10–20% of revenue after ads. Target ROAS well above break-even.
- **Growth focus (new shop, new market):** accept a target near break-even on the first order if LTV is strong and repeat purchases are proven. Never below break-even without a written reason and a time limit.
- **New customers vs returning customers:** you can accept a lower ROAS for new customers (they bring future orders) and expect a higher one on retargeting and brand campaigns, where many buyers would have come anyway (Section 7).

Lead generation: target cost per lead from close rate

For a business that sells by phone or WhatsApp after an enquiry, work backwards. A solar installer earns Rs 60,000 contribution per installation and closes 1 lead in 10. Each lead is worth Rs 6,000 of contribution, so the break-even cost per lead is Rs 6,000; a target of about 50–60% of that (Rs 3,000–3,600) leaves room for profit and sales costs. Section 19 shows how to turn this into a lead value for value-based bidding.

> **Tip:** Put the three numbers (break-even ROAS, target ROAS, maximum CPA) in a small box at the top of every report and every campaign brief. When someone suggests "let's lower the target ROAS to get more sales", everybody can see immediately whether that is still profitable.

SECTION 5

Performance marketing in Mauritius

Mauritius is a small, mobile-first, multilingual market where many sales finish on WhatsApp, by phone or in the shop. That changes how you track, how you bid and how quickly you can test.

What is different here

Local reality	What it means for performance marketing	What to do
Small audiences	Fewer conversions per month, so algorithms learn slowly and tests take longer	Fewer, larger campaigns; optimise on a conversion that happens often enough; accept longer test periods
Sales close on WhatsApp, phone or in store	Platforms see a click or a chat, not the sale	Log leads and sales, import them as offline conversions (Section 15)
Cash on delivery and bank transfers	Online "purchase" events can include orders that are never paid	Send the value when the order is confirmed, or adjust later; compare with paid orders
Tourists and the diaspora	Two markets: residents and visitors from France, Réunion, the UK, South Africa, India…	Separate campaigns, budgets and targets by market (Week 8, Section 9)
Strong seasonality	Festivals, school holidays, year-end, tourist high season	Plan budgets by month; use seasonality adjustments carefully (Section 23)
15% VAT on foreign digital services since 1 January 2026	Ad invoices from Google and Meta may carry VAT	Include non-recoverable VAT in ad cost when you calculate ROAS and CPA
Word of mouth	Ads trigger conversations and recommendations that are hard to track	Use MER and simple holdout tests, not only platform ROAS

Realistic expectations

With a few dozen conversions a month you will not get the precision of a large European shop. That is fine. Your job is to make **good decisions with imperfect data**: clean tracking, sensible targets based on margins, budgets moved by the evidence you have, and regular checks against real sales. The rest of this guide is built for that reality.

> **In Mauritius:** ask every new client one question in the first meeting: "Where do you see your sales?" The answer (Shopify, a POS till, a booking system, an Excel file, WhatsApp chats) tells you what your source of truth is, and what needs to be connected to the ad platforms.

PART B

Measuring what works

Attribution, incrementality, MER
and the measurement mix

SECTION 6

Attribution: why the numbers never match

Attribution is the set of rules that decides which ad or channel gets the credit for a conversion. Each platform uses its own rules, so Google Ads, Meta, GA4 and your till will always show different numbers. Knowing why is the first step to using them well.

How each tool gives credit in 2026

Tool	How it credits conversions	Typical bias
Google Ads	Data-driven attribution across Google ads clicks (and engaged views on YouTube); the conversion is reported on the date of the click	Only sees Google ads; can include modelled conversions
Meta Ads Manager	Default for website sales: 7-day click-through (link clicks only since March 2026), 1-day engage-through, 1-day view-through. An "incremental" attribution model is also available	Counts view-through and engaged sales; cannot see Google or email
GA4	Data-driven attribution by default for key events; also "Paid and organic last click" and "Google paid channels last click"	Sees all channels but not ad views; loses visitors who refuse cookies
Shop system / till / CRM	Records the real order, usually with no channel	The truth about sales, not about what caused them

Five reasons numbers disagree

1. **Different windows:** Meta can count a sale 7 days after a click; GA4 uses its own lookback window.
2. **Views vs clicks:** Meta counts some people who only saw or engaged with an ad; GA4 only sees visits.
3. **Double counting:** a customer clicks a Google ad, later sees a Meta ad, and buys. Both platforms claim the full sale.
4. **Dates:** Google Ads and Meta report by the date of the ad interaction by default; GA4 and your till by the date of the sale.
5. **Lost and modelled data:** cookie refusals, ad blockers and iPhone privacy settings hide some conversions; platforms fill some of the gap with models.

Model comparison in GA4

In GA4 go to **Advertising → Model comparison**. Compare "Data-driven" with "Paid and organic last click" for your key events. Channels that gain a lot with data-driven attribution (often social and display) help early in the journey; channels that gain with last click (often brand search, email, direct) close the sale. Since November 2023 GA4 only offers these three models: first click, linear, time decay and position-based were removed.

> **The golden rule:** use each platform's numbers to optimise *inside* that platform (the algorithm needs them), use GA4 to *compare* channels on one set of rules, and use real sales (the till, the booking system, the CRM) as the *final judge*. Week 8 (Section 26) introduced this rule for Meta; it applies to every channel.

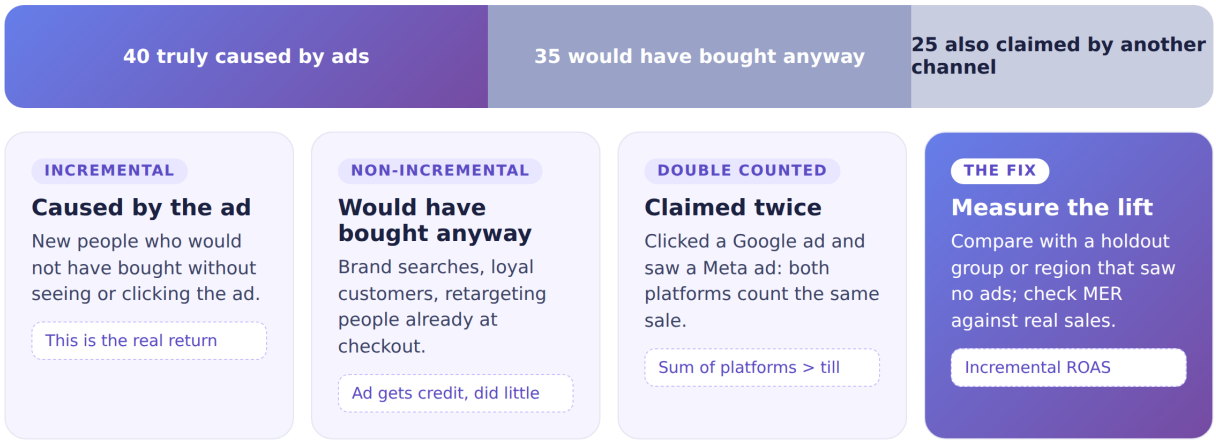
SECTION 7

Incrementality: what the ads really caused

A conversion is incremental if it would not have happened without the ad. Attribution tells you who touched an ad before buying; incrementality tells you how many sales the ads actually added. The difference can be large.

Why platform ROAS over-claims

Illustrative example: 100 purchases claimed by the ad platforms in one month



Illustrative split. Real proportions vary by business and must be measured with a test (Section 10).

Where over-claiming is strongest

Campaign type	Why platform ROAS looks high	Typical incrementality
Brand search ("varangue home")	People already looking for you; many would click the free result	Low to medium: still useful to protect against competitors
Retargeting website visitors and cart abandoners	Many were going to buy anyway	Often low; test it
Existing customers in Advantage+ or Performance Max	Algorithms find easy buyers who already know you	Medium; use new-customer goals
Prospecting to new audiences	Lower reported ROAS, harder sales	Usually higher than it looks
Generic search ("teak coffee table mauritius")	High intent but not yet loyal to a brand	Medium to high

What to do about it

- **Use stricter attribution settings** for decisions: for example, compare Meta results with 7-day click only (no view-through) using "Compare attribution settings".
- **Separate new and returning customers.** Google’s new customer acquisition goal and Meta’s existing-customer budget controls help you see and limit spend on people who already buy from you.

- **Expect a lower ROAS on prospecting** and a higher one on retargeting and brand: set different targets.
- **Watch MER** (Section 8). If platform ROAS rises but total sales do not, the ads are claiming sales they did not cause.
- **Test** once or twice a year: switch a campaign off for a region or a period and measure what happens to total sales (Section 10).

Incremental ROAS (iROAS)

iROAS = extra revenue caused by the ads ÷ ad spend. If a retargeting campaign reports Rs 120,000 of revenue for Rs 20,000 (ROAS 6), but a holdout test shows that only Rs 30,000 of that revenue was extra, the iROAS is 1.5: below Varangue's break-even of 2.33. The campaign looks like the best one in the account and is in fact losing money.

SECTION 8

Blended metrics: MER and new-customer CAC

Blended metrics look at the whole business instead of one platform. They cannot tell you which ad worked, but they cannot be fooled by attribution either.

MER: marketing efficiency ratio

MER = total revenue of the business ÷ total marketing spend (all ads, plus agency and tools if you want a full view). It is also called blended ROAS. Track it every week and every month next to the platform numbers.

Month	Google Ads ROAS	Meta ROAS	Sum of platform revenue	Real online revenue	Total ad spend	MER
August	5.1	4.4	Rs 610,000	Rs 520,000	Rs 128,000	4.1
September	5.6	5.2	Rs 780,000	Rs 540,000	Rs 150,000	3.6

Illustrative figures. Both platforms improved, but real revenue only grew by Rs 20,000 for Rs 22,000 of extra spend: MER fell. The extra spend mostly bought credit, not sales.

Platform over-claim ratio

Divide the sum of platform-reported revenue by real revenue from the same period: 780,000 ÷ 540,000 = 1.44. The platforms together claim 44% more than was sold. Watch this ratio over time. A sudden rise usually means double counting or more view-through credit, not more sales.

New-customer CAC (nCAC)

nCAC = total marketing spend ÷ number of new customers. It answers the question owners care about: "How much does it cost us to win a new customer?" Compare it with contribution per first order (payback) and with LTV (Section 2). Your shop system or CRM tells you how many orders came from first-time customers.

A simple weekly scorecard

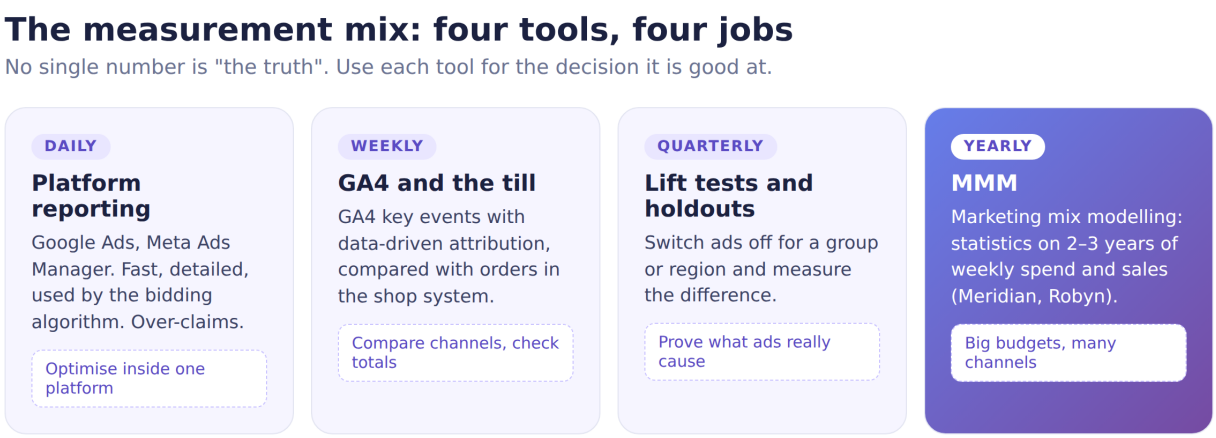
Metric	Source	Target
Total revenue and orders	Shop system or till	Monthly plan
Total ad spend (incl. non-recoverable VAT)	Google Ads, Meta invoices	Budget plan
MER	Calculated	Above break-even ROAS, ideally near target ROAS
New customers and nCAC	Shop system or CRM	Below contribution of the first order (or LTV ÷ 3)
Platform ROAS by channel	Google Ads, Meta, GA4	Channel targets (Section 4)

Tip: If you can only track one number for a small business, track MER together with total contribution. It is easy to calculate, it cannot be inflated by attribution, and it connects marketing to the bank account.

SECTION 9

The measurement mix: platform, GA4, MMM and lift tests

Large advertisers combine several methods, each with strengths and weaknesses. Small businesses use a lighter version of the same mix.



Marketing mix modelling (MMM) in plain words

MMM is a statistical model that looks at weekly spend per channel, sales, prices, promotions and seasons over two to three years and estimates how much each channel contributed to sales. It needs no cookies or user tracking, so it is "privacy-first". It also estimates diminishing returns (Section 21) and suggests a better budget split.

- **Meridian** is Google’s open-source MMM. It became available to all advertisers in January 2025. In February 2026 Google added a code-free **Scenario Planner** that turns a trained model into a dashboard to plan budgets, but training the model still needs a data scientist working in Python.
- **Robyn** is Meta’s open-source MMM package (written in R), with automated model tuning and a budget allocator. It can be calibrated with the results of lift tests.

- **Both are free but not simple.** You need clean weekly data for every channel, enough spend variation and enough history. Both tools are built by companies that sell advertising, so check results against your own tests.

Which methods should you use?

Business size	Recommended mix
Small (under about Rs 100,000 a month of ads)	Platform reporting + GA4 + till; MER and nCAC; one simple holdout test a year (Section 10)
Medium (several channels, Rs 100,000 to Rs 1 million a month)	All of the above + monthly model comparison in GA4 + regular geo or time holdout tests; Meta incremental attribution as a check
Large (big budgets, offline media, several years of data)	All of the above + MMM (Meridian or Robyn, often with an agency) calibrated by lift studies from Google and Meta

Do not wait for perfect measurement. A clear tracking set-up, margins-based targets and an honest comparison with real sales are worth more than an advanced model fed with bad data.

SECTION 10

Simple holdout and lift tests

A lift test compares a group that could see your ads with a similar group that could not. The difference in sales is the incremental effect. You can run official studies on the platforms or a do-it-yourself version.

Official lift studies

Platform	Tool	Notes (October 2026)
Google Ads	Conversion Lift (user-based or geo-based)	Since 7 October 2026 user-based Conversion Lift also covers Search and Performance Max. Requirements reported: at least 1,000 observed conversions and a minimum budget of USD 5,000 per campaign. Out of reach for most small Mauritian accounts.
Meta	Conversion Lift studies and A/B tests in Experiments	Meta recommends validating results with a Conversion Lift study or split test. Availability and minimums depend on the account.

A do-it-yourself holdout test

1. **Choose one question:** "Does our retargeting campaign bring extra sales?" or "What does Meta add on top of Google?"
2. **Choose the holdout:** a **time holdout** (pause the campaign for 2–3 weeks in a normal period) or a **geo holdout** (stop ads in some regions only, for example the South and the East, and keep them in the North and Plaines Wilhems). For tourism, a market holdout works: stop ads in one source country.
3. **Write the prediction first:** "If retargeting is incremental, total online sales will fall by at least 10% during the pause."
4. **Keep everything else stable:** no new promotions, price changes or big posts during the test.
5. **Compare like with like:** the same weeks last year, or regions that normally move together.
6. **Calculate iROAS:** lost revenue during the pause ÷ spend saved. Decide: keep, reduce or stop.

Example (illustrative)

Varangue pauses retargeting (Rs 20,000 a month) for three weeks. Online revenue in those weeks is Rs 8,000 lower than expected from the trend, about Rs 11,000 per month. iROAS = 11,000 ÷ 20,000 = 0.55. Decision: cut retargeting to a small budget focused on cart abandoners in the last 3 days and move the rest to prospecting.

> **Tip:** In a small market, results are noisy. Treat one test as a strong hint, not a proof. Repeat important tests, and combine them with what you see in MER and in customer conversations ("How did you hear about us?").

PART C

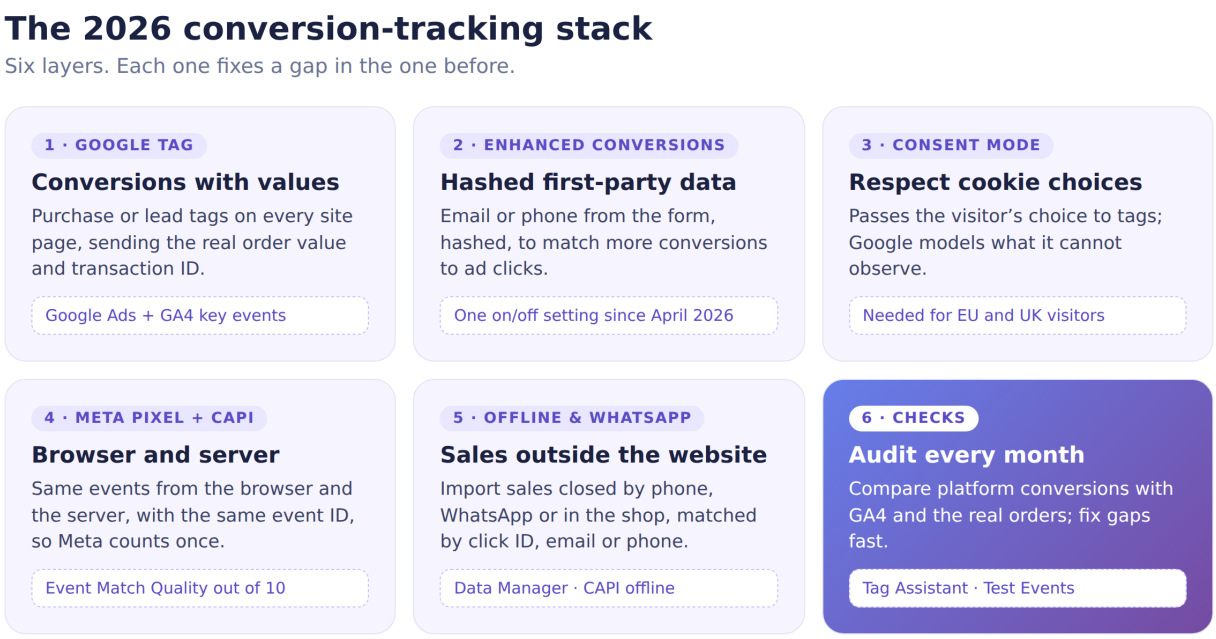
Conversion tracking

Values, enhanced conversions, Pixel and Conversions API, offline sales and the tracking audit

SECTION 11

What to track: conversions, values and priorities

Bidding algorithms optimise towards whatever you tell them is a conversion. Track the wrong action, or the right action without a value, and you train them to find the wrong people. This section is the plan; Sections 12 to 15 are the set-up.



Macro and micro conversions

Type	Examples	Use for bidding?
Macro (the real goal)	Purchase, paid booking, qualified lead, signed quote	Yes: primary conversion, with a value
Lead (step before the sale)	Form sent, WhatsApp chat started, call longer than 60 seconds	Yes if sales close offline and you cannot import them yet; give each a lead value
Micro (signals of interest)	Add to cart, begin checkout, view price page, newsletter sign-up	No: secondary, for reporting and audiences
Engagement	Scroll, time on page, video views	No: GA4 only

Primary vs secondary in Google Ads

In Google Ads each conversion action is **primary** (used for bidding and in the Conversions column) or **secondary** (observed only, in "All conv."). Keep one or two primary actions per campaign goal. Week 7 (Section 8) covered the settings; the audit in Section 16 checks them.

Give every conversion a value

- **E-commerce:** send the real order value (excluding VAT and delivery, or including them, but be consistent everywhere) and the transaction ID to avoid duplicates.
- **Bookings:** send the booking value or the expected value (nights × average rate).

- **Leads:** give an estimated lead value based on close rate and contribution (Section 19). It does not need to be exact; it must be *proportionate*: a quote request for a full kitchen is worth more than a brochure download.
- **Same currency:** report values in Mauritian rupees (MUR) in all platforms, or convert consistently.

> **Tip:** Write a one-page **measurement plan** before you touch any tag: list each conversion, where it happens, its value, which tools receive it (Google Ads, GA4, Meta), primary or secondary, and who checks it. The template is in Section 29.

SECTION 12

Google tag and Google Ads conversions with values

The Google tag (gtag.js) connects your site to Google Ads and GA4. Most small sites install it through Google Tag Manager (GTM) or a website platform integration (Shopify, WooCommerce, Wix). Week 2 set up GA4; Week 6 created the first Google Ads conversion.

Set up a purchase conversion with dynamic values

1. In Google Ads, go to **Goals → Conversions → Summary → + Create conversion action**, choose **Website** and enter your domain.
2. Create the action manually: category **Purchase**, value **"Use different values for each conversion"** with a default value (for example Rs 4,000), count **"Every"** for purchases (or **"One"** for leads).
3. Keep the default data-driven attribution model and a click-through window that fits your buying cycle (30 days is common for considered purchases).
4. Install with Google Tag Manager: a **Google Ads Conversion Tracking** tag firing on the purchase confirmation, with **Conversion value** and **Transaction ID** taken from the data layer (variables such as {{ecommerce.value}} and {{ecommerce.transaction_id}}).
5. Add the **Conversion Linker** tag on all pages.
6. Test with **Tag Assistant** (preview mode): place a test order and check that value, currency and transaction ID are sent.
7. After 24–48 hours, check the status in Google Ads ("Recording conversions") and compare with orders in the shop system.

Importing GA4 key events instead

You can also import GA4 key events (for example "purchase") into Google Ads. It is simpler, but GA4 imports can arrive later and depend on GA4 consent. For bidding on sales, many specialists prefer the native Google Ads tag, with GA4 kept for reporting. Never use both as primary for the same action: you would count each sale twice.

```
<!-- Data layer pushed by the confirmation page (example) -->
dataLayer.push({
  event: "purchase",
  ecommerce: {
    transaction_id: "VH-10482",
    value: 4250.00,
    currency: "MUR",
    items: [{ item_id: "CUSH-TEAK-45", item_name: "Teak cushion set", price: 4250.00, quantity: 1 }]
  }
});
```

Most shop platforms push this data automatically. Ask the developer to check that the value is the order value you want (with or without VAT and delivery) and that refreshing the thank-you page does not send the event again.

SECTION 13

Enhanced conversions and consent mode

Cookies and click IDs are lost more and more often. Enhanced conversions and consent mode are Google's two main answers. Week 7 (Sections 8 and 9) explained them; here is the performance view.

Enhanced conversions

Enhanced conversions send first-party data the customer typed (email, phone, name, address) to Google in a hashed (scrambled) form. Google matches it with signed-in Google accounts to find conversions that cookies missed. Since April 2026, enhanced conversions for web and for leads use a single on/off setting in **Goals → Settings**.

- **Turn it on** and choose how data is collected: Google tag (automatic or with code), Google Tag Manager variables, or the Google Ads API.
- **Check the diagnostics** in the conversion action a few days later: coverage, match rate and errors.
- **Update the privacy notice** to say that customer data is shared with advertising partners for measurement, and collect it only with a valid legal basis (Mauritius Data Protection Act 2017, and GDPR for EU visitors).

Consent mode v2

Consent mode passes the visitor's cookie choices to Google tags with four signals: ad_storage, analytics_storage, ad_user_data and ad_personalization. When a visitor refuses, tags send cookieless pings, and Google Ads and GA4 use modelling to estimate the missing conversions. Without consent mode, refused visits are simply lost.

Situation	What to do
Mostly local visitors, no cookie banner yet	Still add a clear privacy notice; plan a banner, especially if you advertise to tourist markets
Visitors from the EU or the UK (tourism, exports)	Use a certified consent banner connected to consent mode v2 (Advanced implementation where possible)
Using remarketing, Customer Match, enhanced conversions	Make sure ad_user_data and ad_personalization are sent correctly for EU visitors, or these features stop working for them

Consent is not a performance setting. Never pre-tick boxes or hide the "Refuse" button to get more data. Besides the legal risk, it destroys trust. Better tracking comes from enhanced conversions, server-side data and offline imports, not from forcing consent.

SECTION 14

Meta Pixel and Conversions API: deduplication and quality

Week 8 (Sections 11 and 12) installed the Meta Pixel and introduced the Conversions API (CAPI). For ROAS optimisation, what matters is that every purchase reaches Meta once, with its value, and can be matched to a person.

The redundant set-up

Meta recommends sending the same events through both the Pixel (from the browser) and the Conversions API (from your server, shop platform or CRM). The API catches events the browser misses; the Pixel catches events your server does not see.

Check	What good looks like	Where
Same events in both	Purchase, InitiateCheckout, AddToCart, Lead, Contact sent by Pixel and CAPI	Events Manager → Overview (connection method: "Multiple")
Deduplication	Same event name and the same event_id from browser and server (or external_id with fbp)	Events Manager → event details: deduplication
Value and currency	value and currency (MUR) on every Purchase	Test Events, then Overview
Event Match Quality	Score out of 10; aim to improve it by sending hashed email and phone, IP and user agent, fbp and fbc	Events Manager → Event Match Quality
Timeliness	Events sent in real time or close to it	Events Manager diagnostics
action_source	"website" for site events; another value (for example "physical_store" or "system_generated") for offline events	Developer or partner settings

How to set up CAPI without a developer

- **Shopify, WooCommerce, Wix and other platforms** have official Meta integrations that switch on CAPI with a few clicks ("Maximum" data sharing setting).
- **Conversions API Gateway** or server-side Google Tag Manager for custom sites (needs a cloud server, small monthly cost).
- **Partner integrations** (CRM, booking systems) can send offline events such as a confirmed booking.

Attribution settings for decisions

For ROAS decisions, look at the default setting and at a stricter view: in the columns menu, use **Compare attribution settings** to see 7-day click only. Meta also offers an **incremental attribution** model that only credits conversions its models estimate were caused by the ad. Choose it if your goal is incremental sales, and remember results will look lower than with the standard model.

> **Tip:** Test with the **Test Events** tool using your own details: place an order, check that one Purchase arrives from the browser and one from the server, and that Meta shows them as deduplicated, with the right value.

SECTION 15

Offline conversions and WhatsApp leads

In Mauritius many ads end in a WhatsApp chat, a call or a visit. If the platforms only see the click or the chat, they optimise for chatty people, not for buyers. Offline conversion imports close the loop.

The principle

1. **Capture an ID at the lead:** the Google click ID (GCLID) in a hidden form field, or simply the email and phone number typed in the form.
2. **Record the outcome** in a CRM or a simple Google Sheet: qualified, quote sent, won, value, date.
3. **Send it back** to Google and Meta, ideally every day.
4. **Optimise** on qualified leads or sales with values instead of all leads.

Google Ads options in 2026

Method	How it matches	Comments
Enhanced conversions for leads (recommended)	Hashed email or phone from the form, plus the GCLID when available	Google’s recommended option; works when the GCLID is lost
Google Ads Data Manager	Connects a CRM, Google Sheets or files and uploads leads and sales	Described by Google as the fastest way to set up enhanced conversions for leads; no code
GCLID import	Saved click ID uploaded with the sale	The classic method; needs a hidden field and a CRM
Call conversions	Google forwarding numbers or calls from ads	Count calls longer than a minimum duration

Google advises uploading offline conversions every day and avoiding delays longer than about 7 days, because late data slows Smart Bidding down. Since June 2026 developers who upload through the API must use the Data Manager API.

WhatsApp leads step by step

- **Click-to-WhatsApp ads (Meta):** label chats in WhatsApp Business ("New lead", "Quote sent", "Paid"). Larger set-ups use a WhatsApp Business Platform provider that sends purchase events back through the Conversions API.
- **Google Ads to WhatsApp:** send people to a landing page with a WhatsApp button and a short form (name, phone). Track the button click as a secondary conversion and upload confirmed sales as the primary one.
- **Daily routine:** at 5 pm, the sales person updates the sheet: status and value. The upload runs automatically overnight.

> **In Mauritius:** a simple Google Sheet with columns Date, Name, Phone, Email, Source (Google / Meta / other), GCLID, Status, Value is enough to start. It also gives you real cost per sale by channel, which is often the biggest eye-opener for a business owner.

SECTION 16

The conversion-tracking audit, step by step

Before you change any bid or budget, audit the tracking. In practice, half of all "performance problems" are tracking problems. Do this audit when you take over an account and then every quarter.

The audit checklist

#	Check	How to check	Red flag
1	Primary conversions match business goals	Google Ads → Goals; Meta → Events Manager	Page views or clicks used as primary goals
2	Values are sent and correct	Compare 10 recent orders with platform values	All conversions worth "1" or a fixed value
3	No double counting	Transaction ID in Google; event_id deduplication in Meta; GA4 import not also primary	Platform conversions > real orders
4	Counting setting fits the action	Purchases "Every", leads "One"	One lead counted three times
5	Enhanced conversions on and healthy	Conversion diagnostics	Not set up, or errors
6	Consent mode v2 working	Tag Assistant, consent states	No banner for EU visitors, or tags fire before consent
7	Meta Pixel + CAPI connected	Events Manager: connection method, Event Match Quality	Browser only; low match quality
8	Offline sales imported	Google Ads → Uploads; Meta offline events	Leads tracked but no sales
9	GA4 key events and links	GA4 Admin → Key events; Google Ads links	GA4 not linked; key events missing
10	Reality check	Platform conversions vs GA4 vs orders, last 30 days	Gap above about 20–30% with no explanation

Score the audit

Mark each check Pass, Partial or Fail and give it a priority (high, medium, low). Fix every high-priority Fail before you change bidding. The Excel exercise (Tab 5) and your deliverable use this exact checklist.

> **Reality check formula:** tracking gap = (platform conversions − real orders) ÷ real orders. A gap of +40% for Meta and +25% for Google is normal-ish when attribution overlaps. A gap of −50% (platforms see half the orders) means tracking is broken. Fix it first: algorithms cannot optimise sales they cannot see.

PART D

Bidding and budgets

Value-based bidding, budget allocation, seasonality and scaling

SECTION 17

Value-based bidding explained

Value-based bidding is the part of Smart Bidding that optimises for the *value* of conversions instead of their number. Instead of "get me as many sales as possible", you tell the algorithm "get me as much revenue (or profit) as possible".

Conversion-based vs value-based

	Conversion-based	Value-based
Google Ads strategies	Maximise conversions, Target CPA	Maximise conversion value, Target ROAS
Meta bid strategies	Highest volume, Cost per result goal	Highest value, ROAS goal
Treats every conversion as	Equal	Worth its value
Best when	All conversions are worth about the same (one service, one price)	Order values or lead quality vary a lot
Judge it on	Number of conversions and CPA	Conversion value and ROAS

Since June 2026 Google lists "Maximise conversion value with a target ROAS" simply as **Target ROAS**, and "Maximise conversions with a target CPA" as **Target CPA**. The bidding behaviour did not change: in Week 6 you met them as optional targets inside the Maximise strategies.

When value-based bidding is worth it

- Your order values differ a lot: a Rs 1,500 cushion and a Rs 45,000 sofa.
- Some leads are much more valuable than others: a hotel group booking vs a single room.
- You report at least **two distinct values** across your conversion goals (Google requirement).
- You have enough data: Google says Target ROAS needs at least **15 conversions in the last 30 days**; more data gives more stable results.
- Your values arrive quickly: ideally on the same day, and within 7 days for offline imports.

Common misunderstanding

With value-based bidding the number of conversions may fall while total value rises: the algorithm buys fewer cheap orders and more large ones. Compare value-based campaigns on conversion value and ROAS, not on CPA. Google’s guidance is explicit on this point.



SECTION 18

Setting up target ROAS in Google Ads

This section follows Google’s recommended path. It assumes conversion values are tracked correctly (Sections 11–16).

Step by step

1. **Collect values first.** Report values for at least 3 weeks or 1–2 conversion cycles (whichever is longer) before switching. Do not backfill old values.
2. **Start with Maximise conversion value** (no target) on a campaign with a sensible budget, for 2–4 weeks. Note the actual ROAS.
3. **Add a target ROAS** based on the last 30 days’ actual ROAS. In **Campaign → Settings → Bidding**, choose Target ROAS and enter it as a percentage (357% = ROAS 3.57). Check that it is above break-even (Section 4).
4. **Use the bid simulator** to see the estimated effect of other targets on value and cost.
5. **Wait 1–2 full conversion cycles** before judging. Do not change the target several times within one cycle.
6. **Adjust gradually:** about 10–15% at a time. Lowering the target usually brings more total value and more spend; raising it improves efficiency but can reduce volume.

Choosing the starting target

Situation	Starting target ROAS
Actual ROAS 30 days = 4.2, break-even = 2.33, target from margins = 3.57	Start at about 400% (near actual), then move towards 357% if you want more volume
Actual ROAS 30 days = 2.6, target from margins = 3.57	Do not jump to 357%: delivery would collapse. Start at 260–280%, fix landing page, feed and offer, then raise in steps
Actual ROAS below break-even	Do not use value bidding to "fix" it. Check tracking, search terms, offer and margins first (Week 7)

Smart Bidding Exploration and seasonality

In 2025 Google introduced **Smart Bidding Exploration** for Search, which lets target ROAS campaigns accept a flexible, lower ROAS on new, less obvious searches to find more conversions. Use it when you want growth and have room above break-even. For short events (a 3-day Divali sale), Google's **seasonality adjustments** tell Smart Bidding to expect a temporary jump in conversion rate. Use them only for short, exceptional periods, not for normal months.

Performance Max

Performance Max (Week 6, Section 25; Week 7, Section 24) bids with Maximise conversion value or target ROAS across all Google channels. It is powerful for e-commerce with a product feed, but it mixes brand searches and retargeting into its results. Exclude your brand where possible, use the new customer acquisition goal (Section 19) and judge it on MER and incremental tests, not only on its reported ROAS.

> **Tip:** Use **data exclusions** (in the advanced bidding controls of the Tools menu) if tracking breaks for a few days, so Smart Bidding does not learn from false data.

SECTION 19

Value rules, new customers and lead values

Your tracked value is the shop's order value. But some conversions are worth more to the business than their order value: new customers, buyers in a high-value region, members of your loyalty list. Google gives you tools to tell the algorithm.

Conversion value rules (Google Ads)

Value rules adjust conversion values in real time based on conditions. Find them in **Goals → Conversions → Value rules**. They work with Target ROAS and Maximise conversion value in Search, Shopping, Display, Hotel and Performance Max campaigns.

Element	Options
Conditions	Audience (for example a Customer Match list), Device, Location; optionally a second condition of another type
Actions	Add a fixed amount, or Multiply by a factor between 0.5 and 10; "Set" a value is in beta
Limits	Only one rule applies to a given conversion; Multiply beats Add if two rules match
Reporting	Conversion value columns include the adjustment; an "original conversion value" metric shows values before rules

Examples

- **Location:** customers in Grand Baie and Tamarin order larger furniture sets: Multiply × 1.3.
- **Audience:** members of the loyalty list (Customer Match) already buy without ads: Multiply × 0.7 so the algorithm does not overpay for them.
- **Device:** rarely needed; use it only with clear evidence.

New customer acquisition goal

In Performance Max and Search you can tell Google to **value new customers more** (add an extra value to purchases from new customers) or to **bid only for new customers**. Google recognises existing customers from your Customer Match lists, your converters and Google's own data. Set the extra value from the business case: for example the contribution of the expected repeat orders (LTV minus first-order contribution). In 2026 Google has also been testing a calculator that suggests a new-customer value from a target ROAS.

Lead values for lead-generation businesses

Lead stage	Close rate to sale	Contribution per sale	Lead value
Form: brochure download	1%	Rs 60,000	Rs 600
Form: quote request	10%	Rs 60,000	Rs 6,000
Qualified lead (site visit booked)	30%	Rs 60,000	Rs 18,000
Signed contract (offline import)	100%	Real contribution	Real value

Illustrative example for a solar installer. Lead value = close rate × contribution per sale. Google allows lead values that act as a proxy, "like a lead score", rather than real revenue.

> **Tip:** Send **profit instead of revenue** as the conversion value if your margins vary a lot by product (for example with a margin field in the data layer, or a feed-based approach through an agency or a tool). Then target ROAS becomes a target POAS: a target of 100% means break-even.

SECTION 20

Value optimisation on Meta

Meta can also optimise for purchase value. In an Advantage+ sales campaign or a manual sales campaign with a website conversion location, the ad set's performance goal can be "Maximise value of conversions".

Meta bid strategies for value

Bid strategy	What it does	When to use it
Highest volume	Gets as many purchases as possible for the budget	Default; similar order values; little data
Highest value	Spends the budget to get the highest total purchase value	Order values vary; Purchase events send correct values
ROAS goal	Highest value while aiming to keep an average ROAS at or above your goal (minimum ROAS)	You know your target ROAS; enough purchases; accept that delivery can fall if the goal is too high
Cost per result goal	Most results while aiming at your cost per result	Lead generation with a known target CPA
Bid cap	Never bids above your limit	Advanced users only

Practical rules

- **Values first:** value optimisation only works if Purchase events from the Pixel and CAPI carry correct values and currency (Section 14). The ad account must also be eligible for value optimisation.
- **Start with Highest value**, then add a ROAS goal once you know the real ROAS for that campaign. Set the goal close to recent results, not at your dream number.
- **Be patient with learning:** Meta needs enough optimisation events per ad set (Week 8, Section 22). In a small market, combine ad sets rather than split them.
- **Watch the attribution setting:** a ROAS goal is measured with the ad set's attribution setting. View-through and engage-through sales count towards it.
- **Existing customers:** in Advantage+ sales campaigns, define your existing customers and cap the share of budget spent on them if your goal is growth.

Meta for lead generation

For WhatsApp or instant-form leads, optimise for the deepest event you can send back reliably: conversation started → qualified lead → purchase (offline via CAPI). The conversion leads optimisation goal for instant forms uses CRM stages that you send back to Meta, so that Meta looks for people who become customers, not just people who fill forms.

> **Do not switch everything at once.** Move one campaign to value optimisation, keep a comparable one on the old strategy, and compare after 2–4 weeks on conversion value, contribution and MER. Meta's A/B testing tool (Week 8, Section 23) can run this comparison properly.

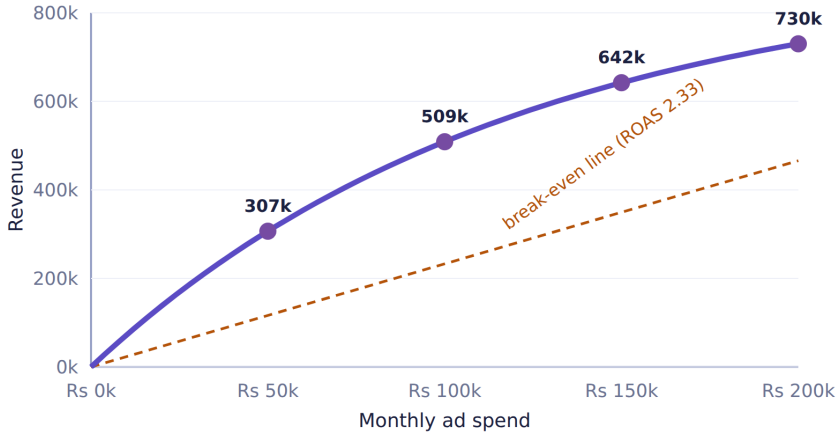
SECTION 21

Budget allocation: diminishing returns and marginal ROAS

Every channel has a point where extra spend brings less and less extra revenue: you first reach the people most likely to buy, then people who are less interested, at higher prices. This is the law of diminishing returns.

Diminishing returns: why the next rupee earns less

Illustrative curve for one channel. Average ROAS still looks good while the extra spend already loses money.



Spend	Avg ROAS	Marginal
Rs 50k	6.1	**6.1**
Rs 100k	5.1	**4.0**
Rs 150k	4.3	**2.7**
Rs 200k	3.7	**1.8**

Marginal ROAS = extra revenue ÷ extra spend for each step.

Orange: below break-even (2.33)

Average ROAS vs marginal ROAS

Average ROAS = total revenue ÷ total spend. **Marginal ROAS** = extra revenue ÷ extra spend for the next step of budget. In the curve above, at Rs 200,000 the average ROAS is still 3.7, well above break-even. But the last Rs 50,000 only brought about Rs 88,000 of extra revenue: a marginal ROAS of 1.8, below break-even. That last step loses money, even though the campaign "looks" profitable.

The allocation rule

1. Estimate, for each channel, how much extra revenue each extra step of budget would bring (from history, bid simulators, impression share data or tests).
2. Fund the steps with the **highest marginal ROAS first**, across all channels, until the budget is used.
3. Stop funding any step whose marginal ROAS is below break-even ROAS, even if there is budget left. Put that money aside or into tests.
4. Re-check every month: curves move with seasons, competition and creative.

Where to find the data

Source	What it tells you
Google Ads bid and budget simulators	Estimated conversions and value at other budgets or targets
Search lost impression share (budget)	Whether more budget can buy more searches at the same efficiency
Your own history	Weeks with different spend levels and their results (best with similar seasons)
Tests	A 20–30% budget increase on one campaign for 2–3 weeks, compared with the previous period
MMM (large advertisers)	Response curves per channel (Meridian, Robyn)

> **Tip:** The Excel exercise (Tab 3) gives you spend tiers and marginal ROAS for four channels and asks you to find the best split of a fixed Rs 300,000 budget. The method is exactly the rule above.

SECTION 22

The 70/20/10 rule and channel roles

Marginal ROAS tells you where to put money that works today. But a business also needs tomorrow’s winners. The 70/20/10 rule is a simple way to balance both.

The rule

Share	What it funds	Varangue Home example (Rs 300,000)
70%: proven	Campaigns with stable results above target	Rs 210,000: Google Search generic, Meta Advantage+ sales, Performance Max
20%: promising	Ideas with early signs of success that need scale to prove themselves	Rs 60,000: Demand Gen video, a new tourist market, value rules for new customers
10%: experiments	New channels, formats or audiences; learning, not profit	Rs 30,000: TikTok ads, creator content, a holdout test

Give each channel a role

Channel	Main role	Judge it on
Google Search (generic)	Capture existing demand	ROAS, POAS, impression share
Google Search (brand)	Protect your name; cheap	Cost share, incrementality; low budget
Performance Max	Scale e-commerce across Google	ROAS with brand excluded, new customers, MER
Meta prospecting / Advantage+	Create demand, reach new people	New customers, nCAC, incremental tests
Meta retargeting	Convert people who visited	Incremental ROAS (often lower than reported)
YouTube, Demand Gen, display (Week 9)	Awareness and consideration	Reach, brand search lift, MER over time
Email and WhatsApp (Week 10)	Repeat sales from owned lists	Revenue per recipient; cost is low

Avoid the retargeting trap: if you only fund what has the highest platform ROAS, budget flows to brand search and retargeting, which mostly harvest demand created elsewhere. Over months, new customers dry up and total sales fall. Keep a fixed share for prospecting and judge it on new customers.

SECTION 23

Seasonality and the Mauritian calendar

Demand in Mauritius moves with festivals, school holidays, end-of-year spending and the tourist seasons. A good budget plan follows demand: spend more when people buy more, and less when they do not.

Building a seasonality index

1. Take monthly sales for the last 1–2 years from the shop system.
2. Calculate the average month.
3. Seasonality index for each month = that month's sales ÷ the average month (1.0 = normal, 1.4 = 40% above normal).
4. Use the index to share the yearly budget, and as the multiplier in your forecast (Section 25).

Period	Typical retail moments (check the dates each year)	Budget idea
January–February	Back to school, Chinese Spring Festival, Thaipoosam Cavadee	Back-to-school and gifts; quieter for home décor
March–April	National Day (12 March), Ougadi, Easter	Normal; test new ideas (the 20% and 10%)
May–June	Labour Day, Mother's Day, Father's Day, start of winter	Gift peaks: raise budgets 2–3 weeks before
July–September	Winter, Assumption, Ganesh Chaturthi; tourist season from Europe in some segments	Prepare creative and audiences for year-end
October–November	Divali, Black Friday, end-of-year events	Main peak starts: raise budgets, use seasonality adjustments for short sales
December	Christmas, year-end bonuses, summer holidays, high season for many hotels	Highest demand for many retailers; watch stock and delivery capacity

Rules for peaks

- **Start before the peak:** people research 1–3 weeks before buying gifts. Raise budgets gradually so algorithms adapt.
- **Expect costs to rise:** competitors spend more too. Keep your break-even ROAS in view; a peak is not a reason to lose money.
- **After the peak:** lower budgets and targets quickly; conversion rates drop faster than algorithms expect.
- **Tourism:** plan by source market. School holidays in France and Réunion, and winter in Europe, matter more than local holidays.

In Mauritius: festival dates such as Divali, Ougadi, Cavadee, Eid and the Chinese Spring Festival change every year. Check the official list of public holidays published by the government each year before you finalise the budget plan.

SECTION 24

Scaling rules: growing without breaking results

Scaling means raising spend while keeping profit. Most campaigns that "suddenly stopped working" were scaled too fast, beyond their audience, or without new creative.

Six rules for scaling a winning campaign

Grow budget without breaking what works

1 · PROVE IT
Profitable first
At least 2–4 weeks above target ROAS, with tracking you trust.
Not one lucky week

2 · STEP UP
Raise budgets gradually
About 15–20% at a time, then wait several days before the next step.
Avoid restarting learning

3 · WATCH MARGINAL
Judge the extra spend
Compare the extra revenue with the extra spend, not the average.
Marginal ROAS ≥ break-even

4 · LIMITS
Know the ceiling
Impression share, audience size, stock, delivery and staff capacity.
Lost IS (budget) < 10%?

5 · FRESH CREATIVE
Feed the machine
New ads and angles keep costs down as reach grows.
2–4 new ads a month

6 · NEW GROUND
Expand carefully
New keywords, audiences, markets or channels as 20% tests.
Tourist markets, PMax

Vertical and horizontal scaling

Type	What it means	Watch out for
Vertical	More budget on the same campaign	Learning resets after big changes; rising cost per result; marginal ROAS
Horizontal	New keywords, audiences, markets, products or channels	New tests need time and their own targets
Efficiency first	Improve conversion rate (landing page, offer, creative) before adding budget	Often the cheapest way to "scale"

When to stop scaling

- Marginal ROAS for the latest budget step falls below break-even.
- Frequency on Meta rises above about 3–4 per week on prospecting and results fall (Week 8).
- Google Search lost impression share due to budget is near zero: more budget will not buy more searches.
- Stock, delivery or sales staff cannot handle more orders: fix operations first.

> **Tip:** Write your scaling rules down with numbers before you start: "If ROAS ≥ 400% for 7 days and lost impression share (budget) > 10%, raise the budget by 20%. If ROAS < 300% for 7 days, reduce by 20% and review search terms." Rules stop emotional decisions on good and bad days.

PART E

Forecast, improve, report

Simple forecasting models, creative and landing pages as levers, and a reporting rhythm

SECTION 25

Forecasting: simple models and scenarios

A forecast is not a promise; it is a plan with clear assumptions. It helps the owner decide how much to spend, prepares stock and staff, and gives you a benchmark to explain results.

Three simple models

Model	Formula	Best for
Spend × ROAS	Revenue = planned spend × expected ROAS (adjusted for season)	E-commerce with stable history
Funnel model	Revenue = spend ÷ CPC × conversion rate × AOV	Testing what happens if CPC, conversion rate or AOV change
Lead model	Sales = spend ÷ cost per lead × close rate; revenue = sales × average sale	Lead generation, services, B2B

Building the forecast step by step

1. Start from the last 3 months of real results per channel: spend, ROAS (or CPL and close rate), AOV.
2. Apply the seasonality index for each forecast month (Section 23).
3. Lower the expected ROAS when you plan higher spend (diminishing returns, Section 21).
4. Calculate revenue, contribution (revenue × contribution margin) and profit after ads (contribution − spend).
5. Build three scenarios: **conservative**, **expected** and **optimistic**. A simple way: revenue × 0.8, × 1.0 and × 1.15.
6. Write the assumptions next to the numbers, and compare actual results with the expected scenario every month.

Example: Varangue Home, November to January (illustrative)

Month	Ad spend	Expected ROAS	Revenue	Contribution (43%)	Profit after ads
November	Rs 150,000	4.4	Rs 660,000	Rs 283,800	Rs 133,800
December	Rs 200,000	4.8	Rs 960,000	Rs 412,800	Rs 212,800
January	Rs 100,000	3.2	Rs 320,000	Rs 137,600	Rs 37,600
Total, expected	**Rs 450,000**	**4.3**	**Rs 1,940,000**	**Rs 834,200**	**Rs 384,200**

Scenario	Revenue factor	Revenue	Contribution	Profit after ads
Conservative	× 0.80	Rs 1,552,000	Rs 667,360	Rs 217,360
Expected	× 1.00	Rs 1,940,000	Rs 834,200	Rs 384,200
Optimistic	× 1.15	Rs 2,231,000	Rs 959,330	Rs 509,330

Even the conservative scenario is profitable, so the owner can approve the plan. If the conservative scenario showed a loss, you would reduce the planned December spend or improve the offer first.

> **Tip:** Reverse the formula to answer "How much should we spend to reach Rs 1 million in December?" Required spend = revenue goal ÷ expected ROAS = 1,000,000 ÷ 4.8 ≈ Rs 208,000. Then check that this extra spend still has a marginal ROAS above break-even.

SECTION 26

Creative and landing pages as performance levers

Bids and budgets decide how much traffic you buy. Creative, offer and landing page decide how much of that traffic turns into money. In 2026, with algorithms handling most of the targeting and bidding, they are often the biggest levers left in your hands.

The maths of conversion rate and order value

ROAS = revenue per click ÷ cost per click = (conversion rate × AOV) ÷ CPC. Every lever in this formula multiplies the others.

Scenario	CPC	Conversion rate	AOV	Revenue per click	ROAS
Today	Rs 20	1.5%	Rs 4,000	Rs 60	3.0
Faster, clearer landing page	Rs 20	2.0%	Rs 4,000	Rs 80	4.0
+ bundle offer ("cushion set of 4")	Rs 20	2.0%	Rs 4,400	Rs 88	4.4
+ stronger creative (cheaper clicks)	Rs 17	2.0%	Rs 4,400	Rs 88	5.2

Illustrative. A 0.5-point rise in conversion rate did more for ROAS than any bidding change could.

Landing page levers

- **Speed:** fast on mobile data, light images, no heavy pop-ups (Week 2, Week 7 Section 12).
- **Message match:** the page repeats the promise of the ad: same product, same price, same offer.
- **Trust:** reviews, photos of real deliveries, clear delivery areas and times, return policy, local phone and WhatsApp.
- **Friction:** fewer form fields, guest checkout, payment methods people use in Mauritius (cards, Juice, bank transfer, cash on delivery where it makes sense).
- **AOV boosters:** bundles, free delivery above a threshold, "complete the look" suggestions.

Creative levers

- **Volume and variety:** algorithms need several genuinely different ads: different angles, formats (video, carousel, static), people and hooks (Week 8, Sections 20–21).
- **Test angles, not colours:** price, quality, speed of delivery, local craft, a customer story.
- **Refresh before fatigue:** watch rising frequency and falling CTR; add 2–4 new ads a month to winning campaigns.
- **Feed and assets:** for Performance Max and Shopping, product titles, images and prices in the feed are your creative.

> **Where to look first when ROAS drops:** (1) tracking (did something break?), (2) landing page and stock (is the best-seller out of stock?), (3) offer and prices vs competitors, (4) creative fatigue, (5) only then bids and budgets.

SECTION 27

Reporting cadence and dashboards

Good reporting is a rhythm, not a big monthly PDF. Each level of the business needs different numbers at a different frequency.

The reporting rhythm

Frequency	Who	What to look at	Typical decisions
Daily (5 minutes)	Campaign manager	Spend vs plan, tracking alerts, disapproved ads, stock	Fix problems; no bid changes on one day of data
Weekly (30 minutes)	Marketing team	ROAS/POAS by channel, CPA, MER, search terms, creative performance	Small budget moves (±10–20%), new ads, negatives
Monthly (1 hour)	Owner or manager	Revenue, contribution, profit after ads, MER, nCAC, forecast vs actual	Budget split for next month, targets, tests
Quarterly (half a day)	Owner + marketing	Performance Audit: economics, tracking audit, incrementality tests, 70/20/10	Strategy, channel mix, big tests

A one-page monthly report

1. **Headline:** revenue, contribution, ad spend, profit after ads, MER, against plan.
2. **Channels:** spend, revenue, ROAS, POAS, CPA, new customers, for each channel (platform and GA4 view).
3. **What worked and what did not:** three bullet points with evidence.
4. **Tracking health:** gap between platforms and real orders; any issues fixed.
5. **Decisions for next month:** budget split, target changes, tests, with dates and owners.

Building it in Data Studio

Data Studio (Google renamed Looker Studio back to Data Studio in April 2026; Week 7, Section 25) connects for free to Google Ads, GA4 and Google Sheets. Put your Meta results, real orders and margins in a Google Sheet (exported weekly or through a connector) and blend them with the Google data. Add calculated fields for POAS, profit after ads and MER, and a scorecard with break-even and target ROAS at the top.

```
POAS            = (Revenue * Contribution margin) / Cost
Profit after ads = (Revenue * Contribution margin) - Cost
MER             = Total shop revenue / Total ad spend
```

> **Tip:** Use the same names everywhere: "Revenue (platform)", "Revenue (GA4)", "Revenue (shop)". Most arguments about performance are really arguments about which revenue someone is looking at.

PART F

Put it to work

A case study, your Performance Audit, templates, checklists and glossary

SECTION 28

Case study: a solar installer optimises for sales, not leads

"SolKaz Energy" is a fictional but realistic solar panel installer in Phoenix. It sells home installations with an average contribution of Rs 60,000 per installation. Leads come from Google Search and Meta lead forms; sales close after a site visit and a quote, often over WhatsApp. All figures are illustrative.

1. Starting point (monthly)

Channel	Spend	Leads	Cost per lead	Close rate	Sales	Cost per sale
Google Search	Rs 60,000	47	Rs 1,277	13%	6	Rs 10,000
Meta lead forms	Rs 40,000	133	Rs 301	2%	3	Rs 13,333
Total	Rs 100,000	180	Rs 556	5%	9	Rs 11,111

- Both platforms optimised for "form submitted". Meta looked like the star channel because of its cheap leads.
- Sales were tracked in a notebook; nobody knew which channel the 9 sales came from until the audit matched phone numbers.
- No enhanced conversions, Pixel only, no offline imports. Contribution: 9 × Rs 60,000 = Rs 540,000; POAS 5.4.

2. What they did (months 1–2)

- **Tracking audit (Section 16):** 4 Fails out of 10. Fixed in order: lead form values, enhanced conversions, CAPI, offline imports.
- **A simple CRM:** a Google Sheet with Date, Name, Phone, Email, Source, GCLID, Status (new, qualified, visit, quote, won) and Value, updated every evening.
- **Offline loop:** Google Ads Data Manager connected to the sheet (enhanced conversions for leads); Meta CRM stages sent back for conversion leads optimisation.
- **Lead values (Section 19):** new lead Rs 600, site visit booked Rs 18,000, signed contract = real contribution.
- **Bidding:** Google moved to Maximise conversion value with "site visit" and "contract" as primary goals, then a target ROAS after 6 weeks. Meta lead forms moved to the conversion leads goal, with a "higher intent" form (extra question on roof type and monthly electricity bill).

3. Budget reallocation (month 3)

With real cost per sale by channel, the team moved budget using marginal results: Google Search Rs 75,000 (+25%), Meta Rs 35,000 (−12.5%), and a 10% test of Rs 10,000 on YouTube video showing a real installation in Curepipe.

4. Results after 4 months (monthly average)

KPI	Before	After
Ad spend	Rs 100,000	Rs 120,000
Leads	180	150
Qualified leads (site visit booked)	Not tracked	60
Sales	9	14
Cost per sale	Rs 11,111	Rs 8,571
Contribution from ad-driven sales	Rs 540,000	Rs 840,000
POAS (contribution ÷ spend)	5.4	7.0

The lesson: fewer leads, more sales. When the platforms learnt which leads became customers, they stopped buying cheap, low-quality leads. The biggest gain came from tracking and values, not from a clever bid trick.

SECTION 29

Exercises and your Performance Audit

Your Week 12 deliverable is a **Performance Audit**: a ROAS optimisation plan with a conversion-tracking audit and a budget allocation model. In Week 7 you audited one Google Ads account; this time you audit the whole paid performance of a business, across channels. Work on a real business (your own, your employer's or one you know well), or on Varangue Home from the Excel file.



Exercise A · Unit economics and targets (45 min)

For your business, find AOV, gross margin, variable costs per order and repeat rate. Calculate contribution margin, break-even ROAS, target ROAS for a profit goal, maximum and target CPA, LTV and LTV:CAC (Sections 2–4). For lead generation, calculate lead values (Section 19).

Exercise B · Conversion-tracking audit (60 min)

Using the 10-point checklist in Section 16, audit the Google Ads, GA4 and Meta set-up (with access, Tag Assistant, Meta Pixel Helper and Events Manager, or by placing test orders). Mark each check Pass, Partial or Fail with evidence and a priority. Compare platform conversions with real orders for the last 30 days.

Exercise C · Budget allocation model (45 min)

For each channel, estimate the marginal ROAS of the next budget step (Section 21). Build the new budget split using the marginal rule and the 70/20/10 rule, and write three scaling rules with numbers (Section 24).

Exercise D · Excel exercise (90 min)

Download the Week 12 Excel file: unit economics, channel performance with POAS, budget reallocation with diminishing returns, a 3-month forecast with scenarios, and a tracking audit with recommendations. Scored out of 20.

Deliverable: the Performance Audit

Part	Content
1. Business summary	What it sells, where sales close, channels used, monthly ad spend, source of truth for sales
2. Unit economics and targets	AOV, contribution margin, break-even and target ROAS, max and target CPA, LTV:CAC, lead values
3. Conversion-tracking audit	10-point checklist with Pass/Partial/Fail, evidence, priority; tracking gap vs real orders
4. Channel performance	Last 3 months by channel: spend, revenue, ROAS, POAS, CPA, profit after ads; MER; over-claim ratio
5. Incrementality view	Which campaigns are likely over-credited; one holdout test you propose (question, method, prediction)
6. Bidding recommendations	Strategy and target per campaign (Google and Meta), value rules or lead values
7. Budget allocation model	Current vs proposed split with marginal ROAS logic, 70/20/10, seasonality
8. Forecast	3 months, three scenarios, assumptions written out
9. 90-day action plan	Actions, owners, dates, KPIs; reporting rhythm

Submit the Performance Audit (Google Doc, Sheet or PDF link, 6–10 pages plus the budget model) on the learning platform, Module 12 exercises.

TEMPLATES

Copy-and-use templates

Measurement plan

Conversion	Where it happens	Value	Sent to	Primary / secondary	Checked by
Purchase	Thank-you page	Order value (MUR)	Google Ads, GA4, Meta (Pixel + CAPI)	Primary	

Budget allocation model

Channel	Role	Current spend	Marginal ROAS (next step)	Proposed spend	70/20/10	Target
Total						

90-day action plan

Action	Why (evidence)	Owner	Deadline	KPI to watch

Scaling rules

Scale up: if ROAS ≥ [target] for 7 days and lost impression share (budget) > 10% / frequency < 3, raise the budget by 15–20%. Wait [5–7] days before the next step.
Scale down: if ROAS < [break-even] for 7 days, reduce by 20% and check tracking, search terms, stock and creative.
Never: change budget and target on the same day; judge a change on fewer than [1 conversion cycle].

SECTION 30

Checklists, mistakes and glossary

Before you change bids or budgets

- ☐ Tracking audit passed for primary conversions (values, no duplicates)
- ☐ Break-even and target ROAS calculated from contribution margin
- ☐ At least 2–4 weeks of stable data, or one full conversion cycle
- ☐ Platform results compared with GA4 and real orders
- ☐ Stock, delivery and staff can handle more orders
- ☐ Change written in the change log with the reason and the date to review

Monthly performance routine

- ☐ MER, contribution and profit after ads vs plan
- ☐ ROAS and POAS by channel; marginal view on the biggest channels
- ☐ Budget split updated with marginal ROAS and 70/20/10
- ☐ Creative refreshed on winning campaigns
- ☐ Forecast updated for the next 3 months
- ☐ One test running or planned (holdout, bidding, landing page)

Mistakes to avoid

Mistake	Do this instead
Targets copied from "industry benchmarks"	Targets from your own contribution margin
Judging channels on platform ROAS only	Compare with GA4, MER and real sales; test incrementality
All conversions worth the same	Real order values or lead values
Counting the same sale twice	Transaction ID, event_id deduplication, one primary source
Optimising for cheap leads	Import qualified leads and sales; optimise on them
Raising budgets until average ROAS hits break-even	Stop when marginal ROAS hits break-even
Changing targets every few days	Wait 1–2 conversion cycles; adjust by 10–15%
Spending everything on retargeting and brand	Fund prospecting; judge it on new customers

Glossary

Term	Meaning
AOV	Average order value: revenue ÷ orders
Contribution margin	Revenue minus product and variable costs (delivery, packing, payment fees), as a % of revenue
ROAS	Return on ad spend: attributed revenue ÷ ad spend
POAS	Profit on ad spend: attributed contribution ÷ ad spend; 1.0 = break-even
ROI	Return on investment: (contribution − spend) ÷ spend
MER / blended ROAS	Marketing efficiency ratio: total revenue ÷ total marketing spend
Break-even ROAS	1 ÷ contribution margin
CAC / nCAC	Customer acquisition cost / cost per new customer
LTV	Lifetime value: contribution from a customer over a period
Incrementality / iROAS	Sales caused by ads / incremental revenue ÷ ad spend
Holdout / lift test	Comparing a group or region that saw no ads with one that did
MMM	Marketing mix modelling: statistical model of sales vs spend by channel (Meridian, Robyn)
Marginal ROAS	Extra revenue ÷ extra spend for the next budget step
Value-based bidding	Smart Bidding that optimises for conversion value (Maximise conversion value, Target ROAS)
Value rules	Google Ads rules that adjust conversion values by audience, location or device
Enhanced conversions	Hashed first-party data sent to Google to improve conversion matching
CAPI	Meta Conversions API: server-side events, deduplicated with the Pixel
Event Match Quality	Meta score out of 10 for how well events match people
Offline conversion import	Uploading sales or qualified leads that happen outside the website
70/20/10	Budget split: proven, promising, experiments